

Regulation of Business enterprise

Regulation of business activity is a feature of all developed economies

Regulation- illustrated by rules imposed on food, liquor and pharmacy businesses in the local shopping centre; on schools, health care and public transport; in the workplace and in the media.

Direct mechanisms- set down as laws or regulations which must be complied with

3 elements

Statutes, standards or statement of expectations:

A process of registration or licensing to approve and permit the operation of a service and

A process of inspection or other form of ensuring standard compliance including reporting and management of non-compliance with these standards

Indirect policies- based on incentives or disincentives that encourage or discourage participants in a market

These includes subsidies and taxes that are levied to encourage producers and consumers to change their behavior (taxes on alcohol and tobacco)

Other policies allow some degree of noncompliance involving a charge then setting up a market so participants can trade their obligations (emissions trading)

Regulation is an important and effective mechanism to achieve economic, environmental and social goals

It is essential to ensure the rights of business employers, employees customers and the general public

Governments typically use fiscal policy and monetary policy to try to influence business cycle fluctuations